



Completed Customer Retention & Churn Analysis Project | Future Interns (Task 02)

Excited to Share My **Customer Retention & Churn Analysis Project!**

I recently completed a customer analytics project where I analyzed subscription-based customer data to identify churn patterns, retention drivers, customer risk segments, and opportunities to improve customer loyalty and reduce customer loss.

Problem I Worked On:

The objective of this project was to transform customer data into meaningful business insights by identifying:

- Customer churn patterns
- High-risk customer segments
- Retention opportunities
- Impact of contracts and payment methods on churn
- Customer lifetime and tenure trends

Key Insights & Outcomes:

- The business served **7,032 customers**, out of which **1,869 customers churned**, resulting in a **27% churn rate**.
- Customer churn was almost equally distributed between male and female customers, indicating that gender had minimal impact on churn behavior.
- Customers on **Month-to-Month contracts accounted for nearly 89% of total churn**, making contract type the strongest churn indicator.
- Churn was highest among customers with **monthly charges below \$80**, suggesting that price-sensitive customers were more likely to leave.
- **Electronic Check** users showed significantly higher churn compared to customers using automated payment methods such as bank transfers and credit cards.
- Customers with shorter tenure exhibited higher churn rates, while long-tenure customers demonstrated stronger loyalty and retention.
- Risk segmentation analysis identified **4,633 customers in the high-risk category**, highlighting a major opportunity for proactive retention strategies.

Business Recommendations:

- Encourage customers to switch from Month-to-Month plans to annual or multi-year contracts through discounts and loyalty rewards.
- Promote automated payment methods such as bank transfers and credit cards to reduce churn risk.
- Develop personalized retention campaigns for high-risk customers before contract renewal periods.
- Introduce customer engagement programs for new customers during the early stages of their subscription journey.
- Improve customer support and service quality to increase long-term customer satisfaction and retention.
- Monitor churn-prone customer segments regularly using predictive analytics and retention dashboards.

Tools & Technologies Used:

- Power BI
- Microsoft Excel

What I Learned:

This project strengthened my skills in:

- Customer retention analysis
- Churn prediction and segmentation
- Cohort and tenure analysis
- KPI monitoring and reporting
- Business intelligence and dashboard development
- Data visualization and storytelling
- Insight-driven decision making

Dashboard Highlights:

- Total Customer Analysis
- Churn Rate Monitoring
- Contract-wise Churn Analysis
- Payment Method Performance Analysis
- Monthly Charge Bucket Analysis
- Customer Tenure & Retention Trends
- Risk Segment Identification
- Interactive Customer Segmentation Dashboard

🚀 This project enhanced my understanding of customer behavior, retention strategies, and churn management while helping me develop actionable business insights to improve customer lifetime value and reduce customer attrition.